industrial policy. The new industrial policy, announced by the Government on July 23, 1991 had initiated a bigger process of economic reforms in the country, seriously motivated towards the structural readjustment naturally obliged to 'fulfill' IMF conditionalities[29]. The major highlights of the policy are as follows:

1. De-reservation of the Industries

The industries which were reserved for the Central government by the IPR, 1956 were cut down to only eight. In coming years many other industries were also opened for private sector investment. At present there are only three industries which are fully or partially reserved for the central government:

(i) Nuclear energy (at present the central government is seriously considering the proposal of allowing the private sector to enter into the management of the nuclear power plants in the country.).

(ii) Nuclear research and related activities i.e. mining, use, management, fuel fabrication, export-import, waste management, etc. of radioactive minerals (none of the nuclear powers in the world have allowed the entry to private sector in these activities, thus no such attempts look logical in India, too).

(iii) Railways (many of the functions related to the railways have been allowed private entry, but still the private sector cannot enter the sector as a full-fledged railway service provider).

2. De-licencing of the Industries

The number of industries put under the compulsory provision of licencing (belonging to schedules B and C as per the IPR, 1956) were cut down to only 18. Reforms regarding the area were further followed and presently there are only ***six industries***[30] which carry the burden of compulsory licencing:

(i) Aero-space and defence related electronics

(ii) Gun powder, industrial explosives and detonating fuse

(iii) Dangerous chemicals